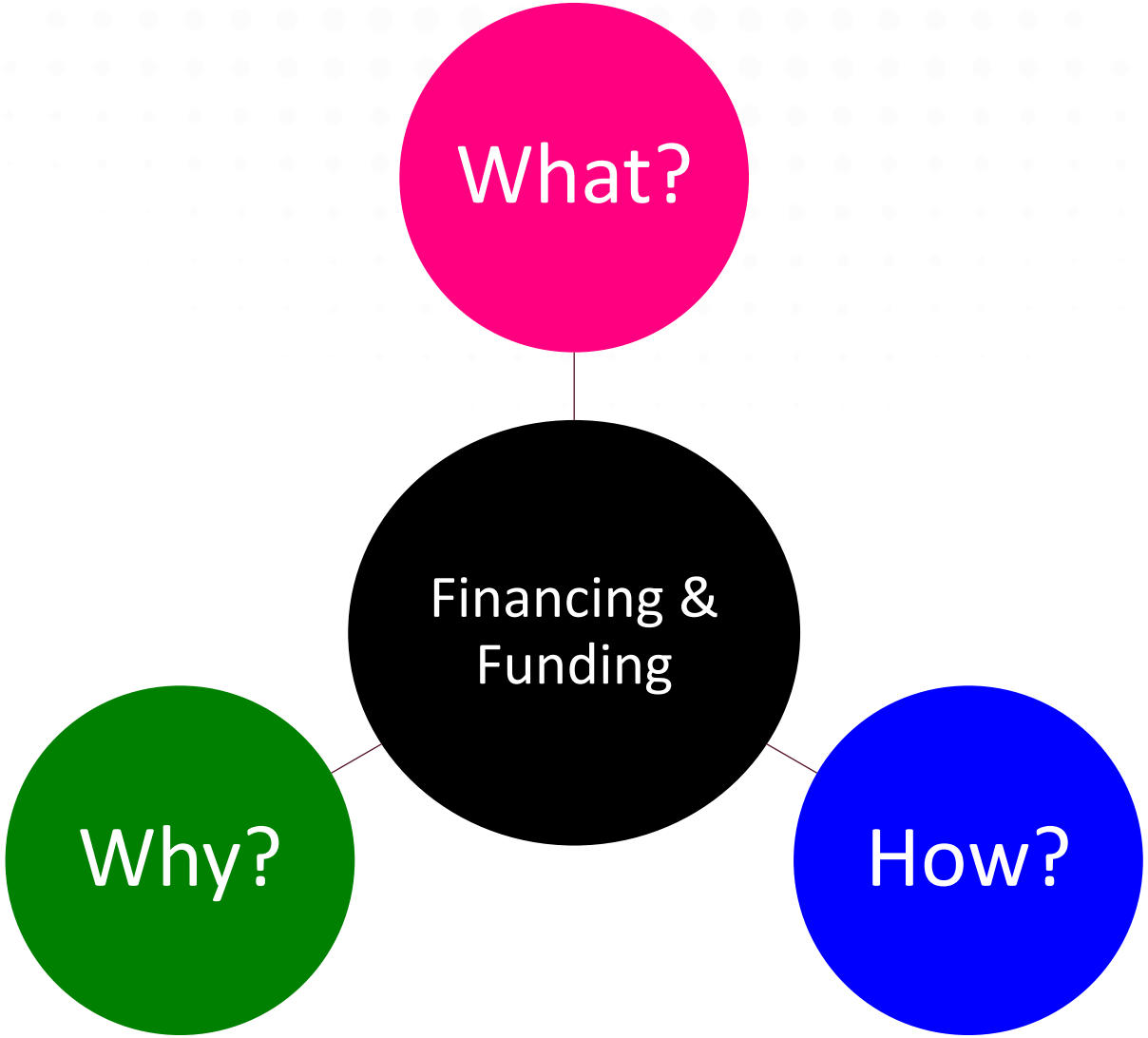
UTM
UNIVERSITI TEKNOLOGI MALAYSIA

BUSINESS FUNDING IN MALAYSIA

ASSOC. PROF. DR. HAZA NUZLY BIN ABDULL HAMED
FACULTY OF COMPUTING

Innovating Solutions

Overview



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What?

Process of raising capital (for day-to day operations and for future growth)

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Why?

Cash Flow Challenges

Inventory must be purchased, employees must be trained and paid, and advertising must be paid for before cash is generated from sales.

Capital Investments

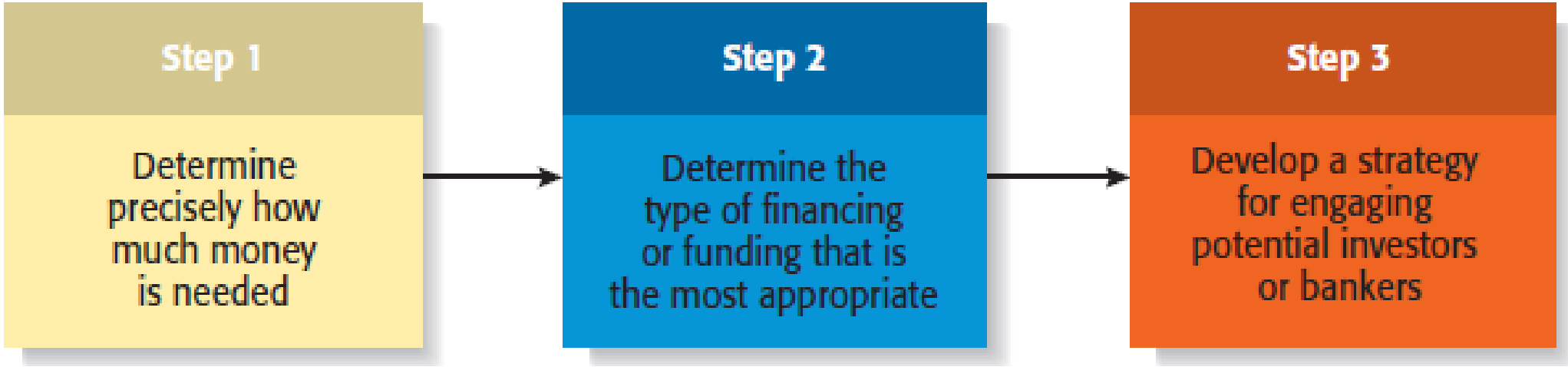
The cost of buying real estate, building facilities, and purchasing equipment typically exceeds a firm's ability to provide funds for these needs on its own.

Lengthy Product Development Cycles

Some products are under development for years before they generate earnings. The up-front costs often exceed a firm's ability to fund these activities on its own.

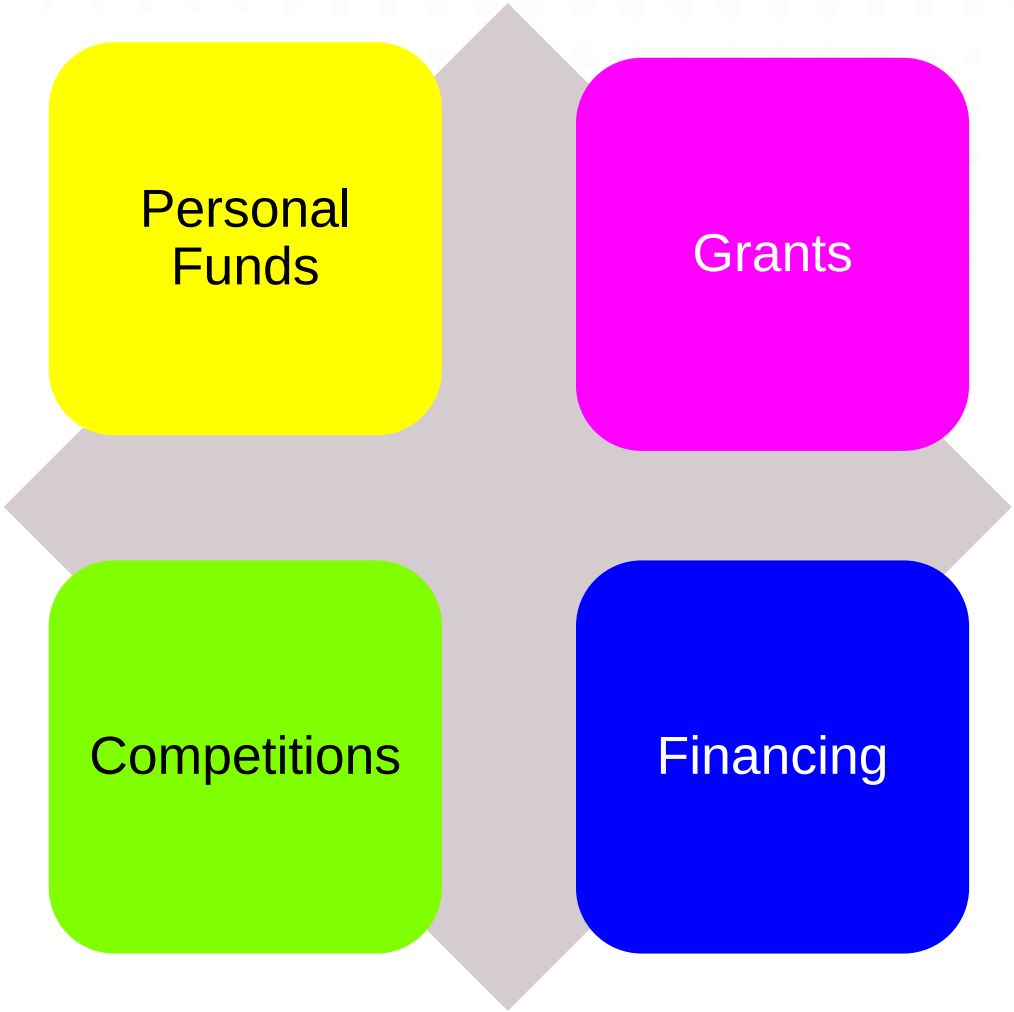
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How?



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How?



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Personal Financing

1. **Personal Funds**
   - The vast majority of founders contribute personal funds, along with sweat equity, to their ventures.
   - Sweat equity represents the value of the time and effort that a founder puts into a new venture.

2. **Family and Friends**
   - Family and friends are the second source of funds for many new ventures.

3. **Bootstrapping**
   - Bootstrapping is finding ways to avoid the need for external financing or funding through creativity, cost-cutting, or any means necessary.

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Bootstrapping

Buying used instead of new equipment	Coordinate purchases with other businesses.	Leasing equipment instead of buying.
Obtaining payments in advance from customers	Minimizing personal expenses	Avoiding unnecessary Expenses
Buying items cheaply but prudently via options such as eBay	Sharing office space or employees with other Businesses	Hiring interns

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Grants

- **UTM**

UTM Centre For Student Innovation & Technology Entrepreneurship



Master In Information Technology Entrepreneurship

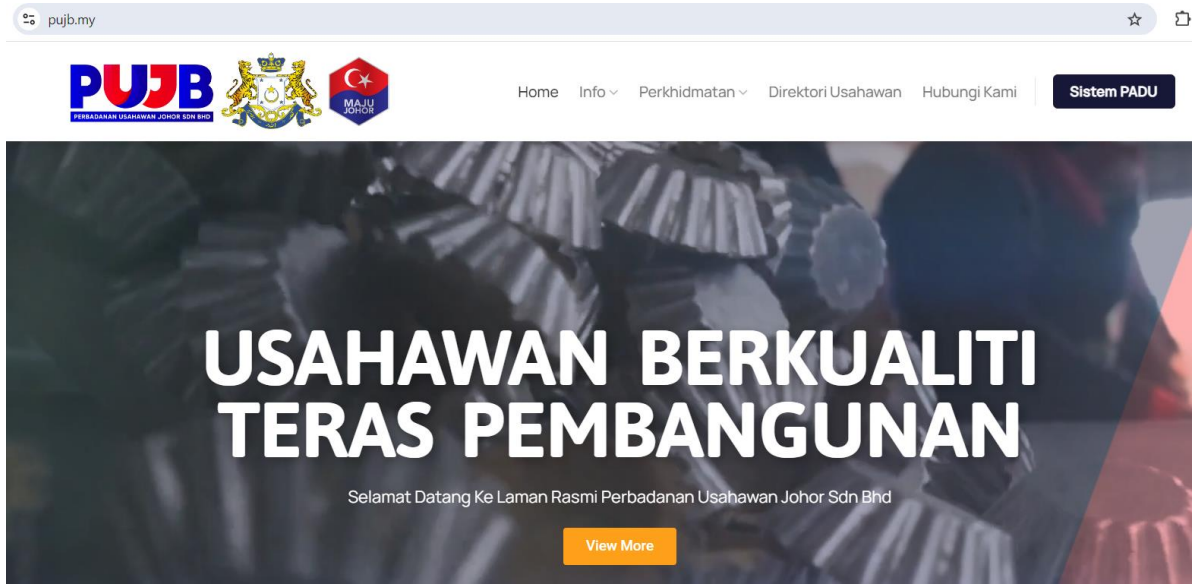


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Grants

- **STATES (e.g. Johor)**

Perbadanan Usahawan Johor (PUJB)



Geran Usahawan Bangsa Johor



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Grants

- **NATIONAL**

https://www.kuskop.gov.my



- SME CORP MALAYSIA
- TEKUN NASIONAL
- AMANAH IKHTIAR MALAYSIA
- PERBADANAN NASIONAL BERHAD
- SME BANK/BANK RAKYAT

SME CORP MALAYSIA

PRODUK / PROGRAM	GERAN & GERAN PADANAN	PAUTAN
Program Tunas Usahawan Belia Bumiputera (TUBE)	Geran Permulaan Perniagaan (Belia Bumiputera)	KLIK
Inclusive SME Ecosystem (I-see)	Geran (Perusahaan Mikro dan B40 yang mempunyai elemen inclusive)	KLIK
Program Pembangunan Perniagaan Usahawan Mikro (BizMe) Micro Connector	Geran (Perusahaan Mikro dan B40)	KLIK

SME BANK

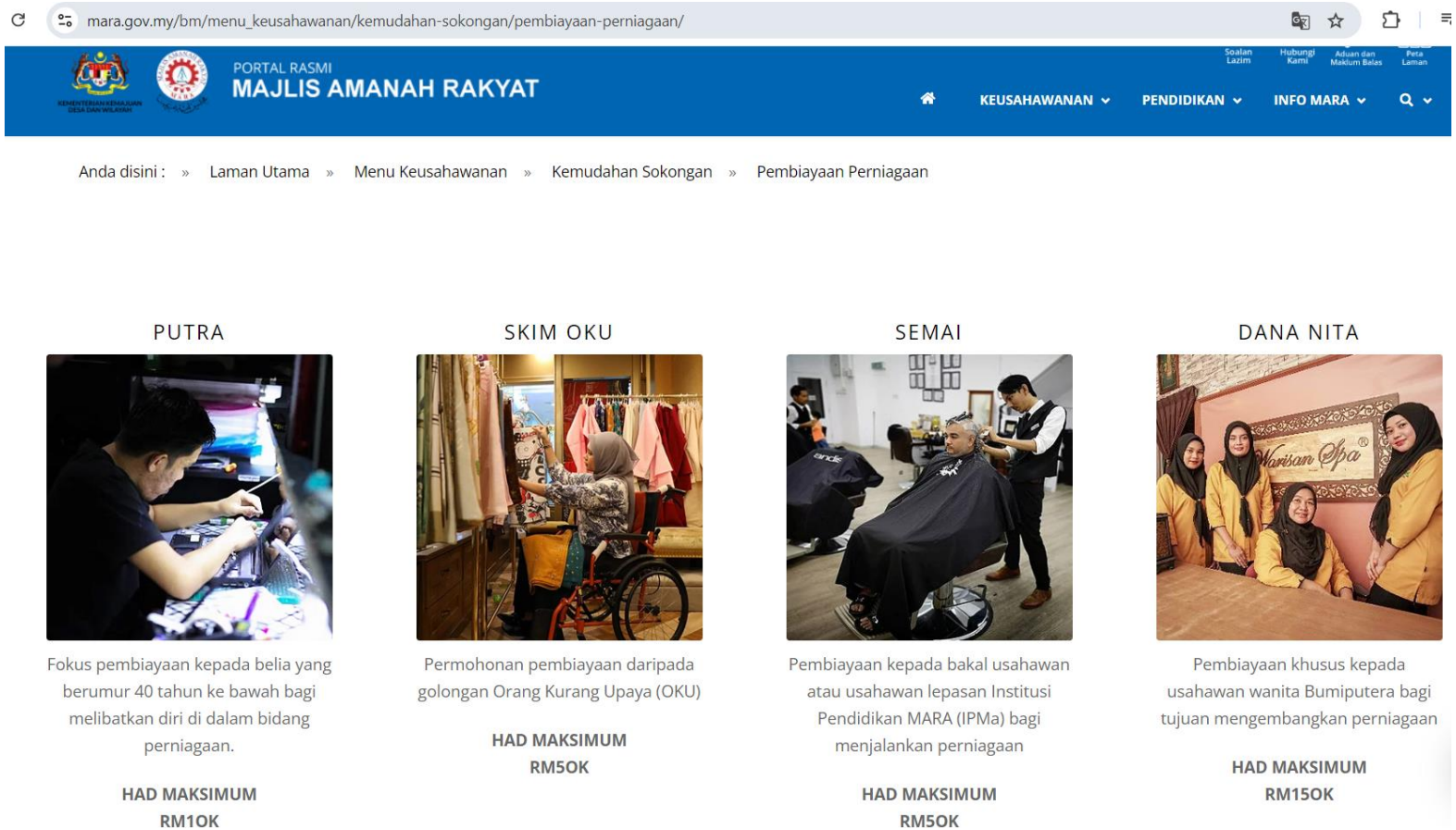
PRODUK / PROGRAM	GERAN & GERAN PADANAN	PAUTAN
Skim Pembiayaan Perusahaan Sosial	Pembiayaan Permulaan* & Pengembangan Perniagaan	KLIK
Pembiayaan Kontrak	Pembiayaan Permulaan* & Pengembangan	KLIK

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Grants

- **MAJLIS AMANAH RAKYAT**

  https://www.mara.gov.my/bm/menu_keusahawanan/kemudahan-sokongan/pembiayaan-perniagaan



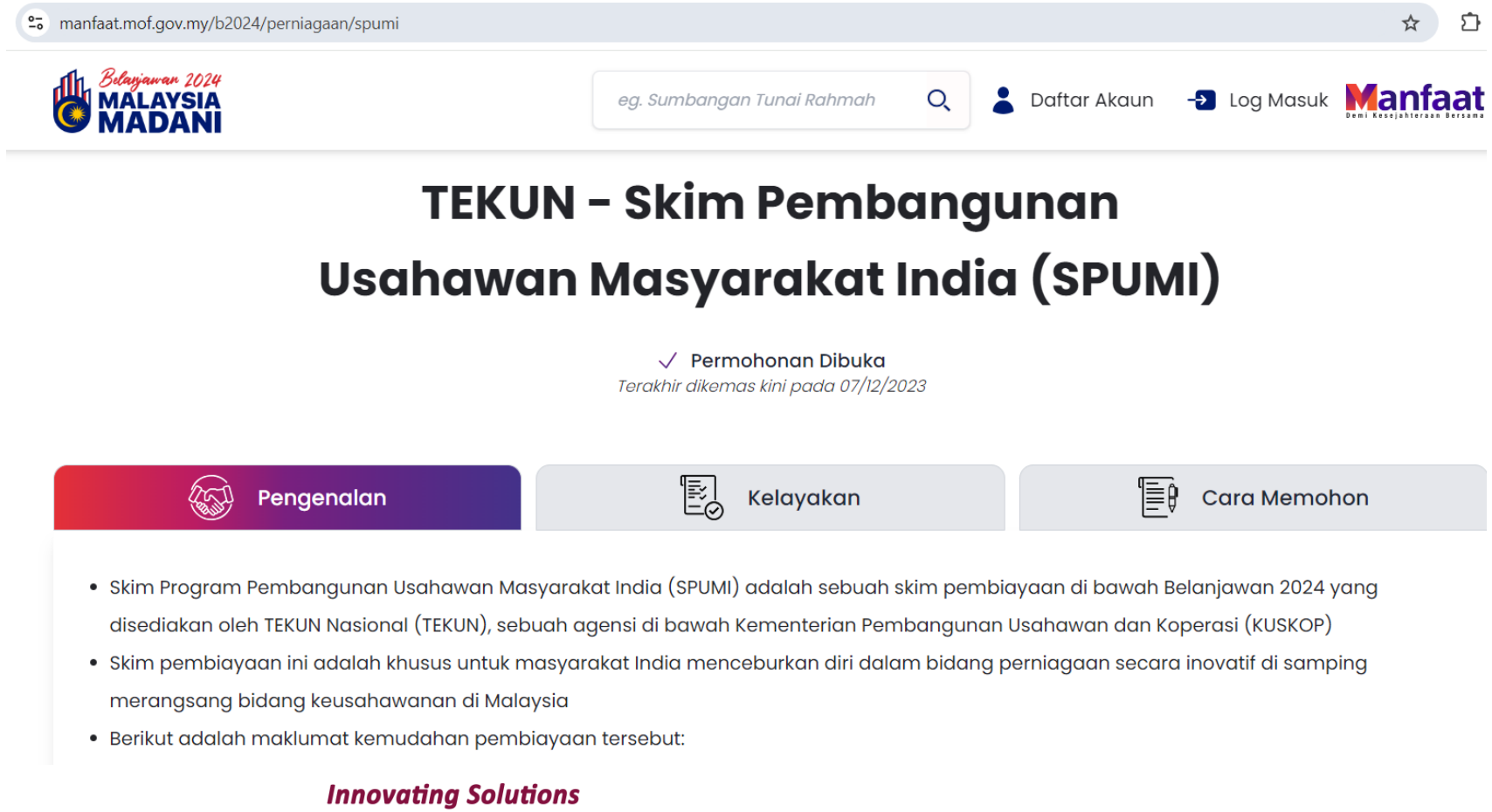
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Grants

- **TEKUN-INDIAN COMMUNITY**

  https://www.mara.gov.my/bm/menu_keusahawanan/kemudahan-sokongan/pembiayaan-perniagaan

Secretariat for Empowerment of Indian Entrepreneurs (SEED), 2012



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Grants

- **CRADLE**

Cradle Fund Sdn. Bhd. (Cradle), a focal point agency for Malaysia's early-stage startup, incorporated under the Ministry of Finance Malaysia (MOF) in 2003.

https://cradle.com.my



MYSTARTUP NXT



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Other grants

- Malaysia External Trade Development Corporation (MATRADE)
- Malaysian Biotechnology Corporation Bhd (MBC)
- Malaysian Technology Development Corporation (MTDC)
- Malaysian Institute Of Microelectronic Systems (MIMOS) Berhad
- Ministry of Science, Technology and Innovation (MOSTI)
- Multimedia Development Corporation (MDeC)
- SUPERB

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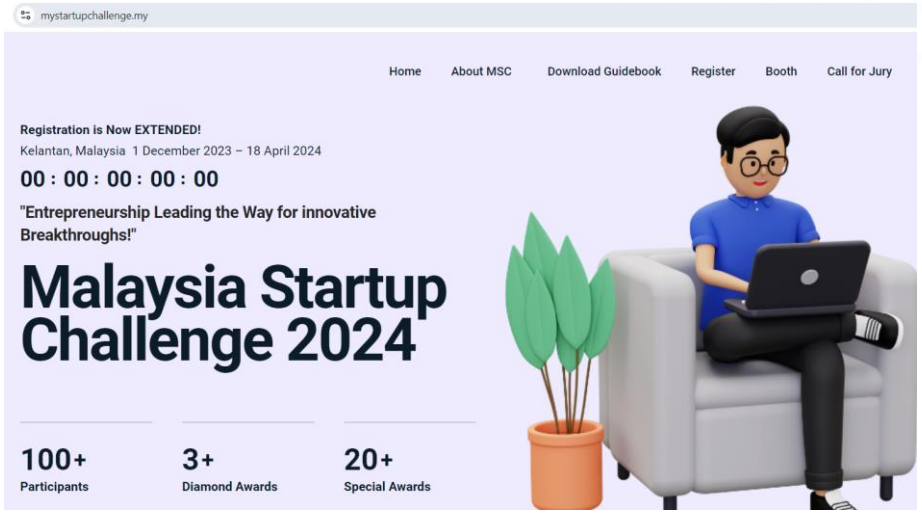
Competitions

- Valuable source of funding during the early stage
- Most competitions with funding opportunities (Prizes, Grant, VC, etc)
- Field to test your ideas and to improve the ideas based on expert advice and fellow entrepreneur observations

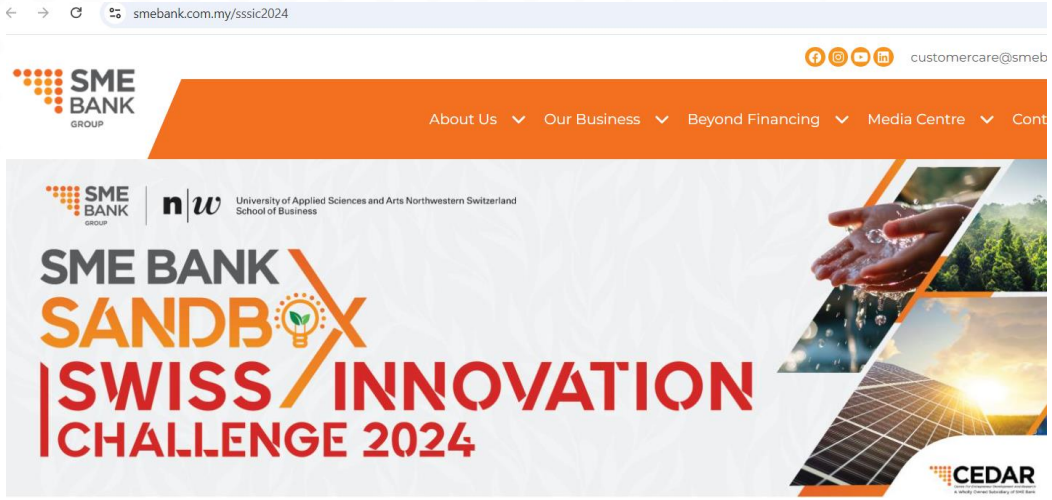
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Competitions

Malaysia Startup Challenge (MSC)



SME Bank Sandbox Swiss Innovation Challenge 2024



NTT Startup Challenge 2024



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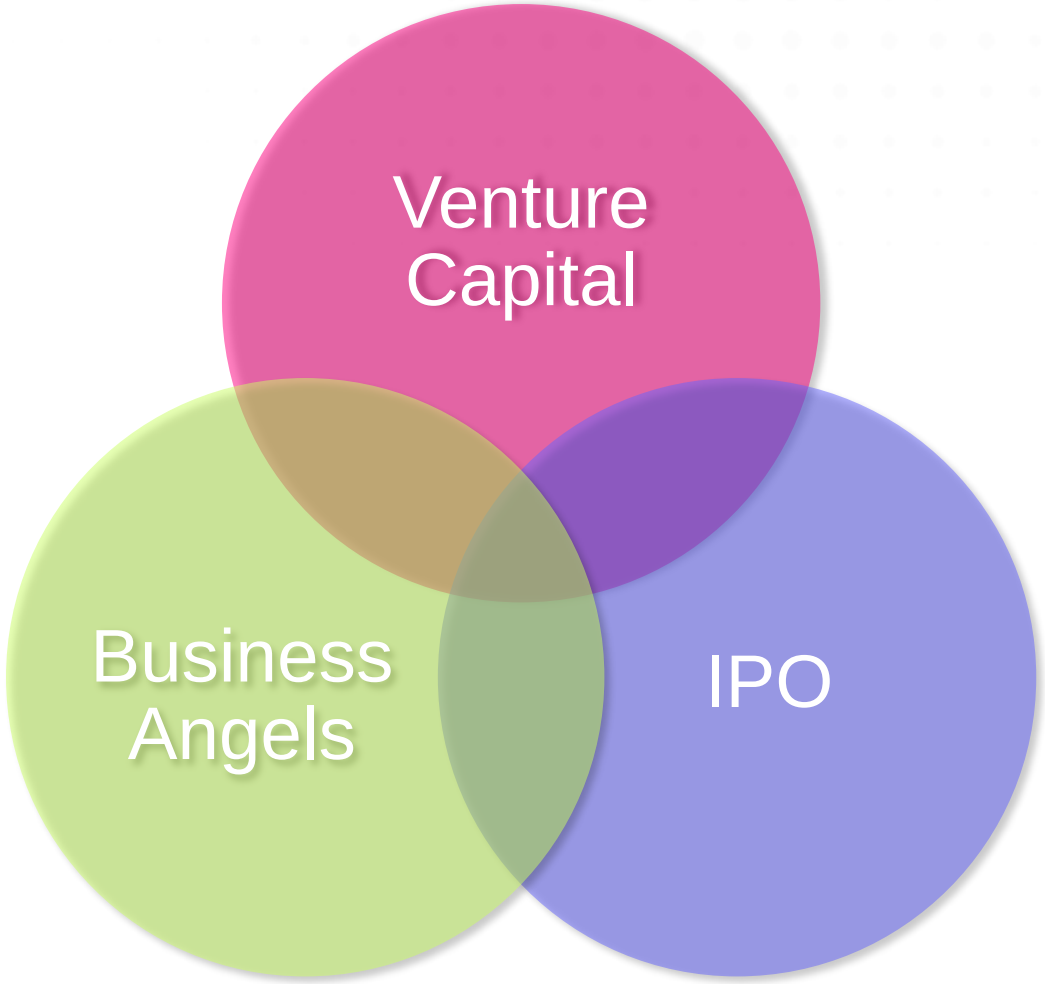
Financing

Types of Financing

Equity Financing	Debt Financing
• Exchanging partial ownership in a firm, usually in the form of stock, for funding	• Getting loans

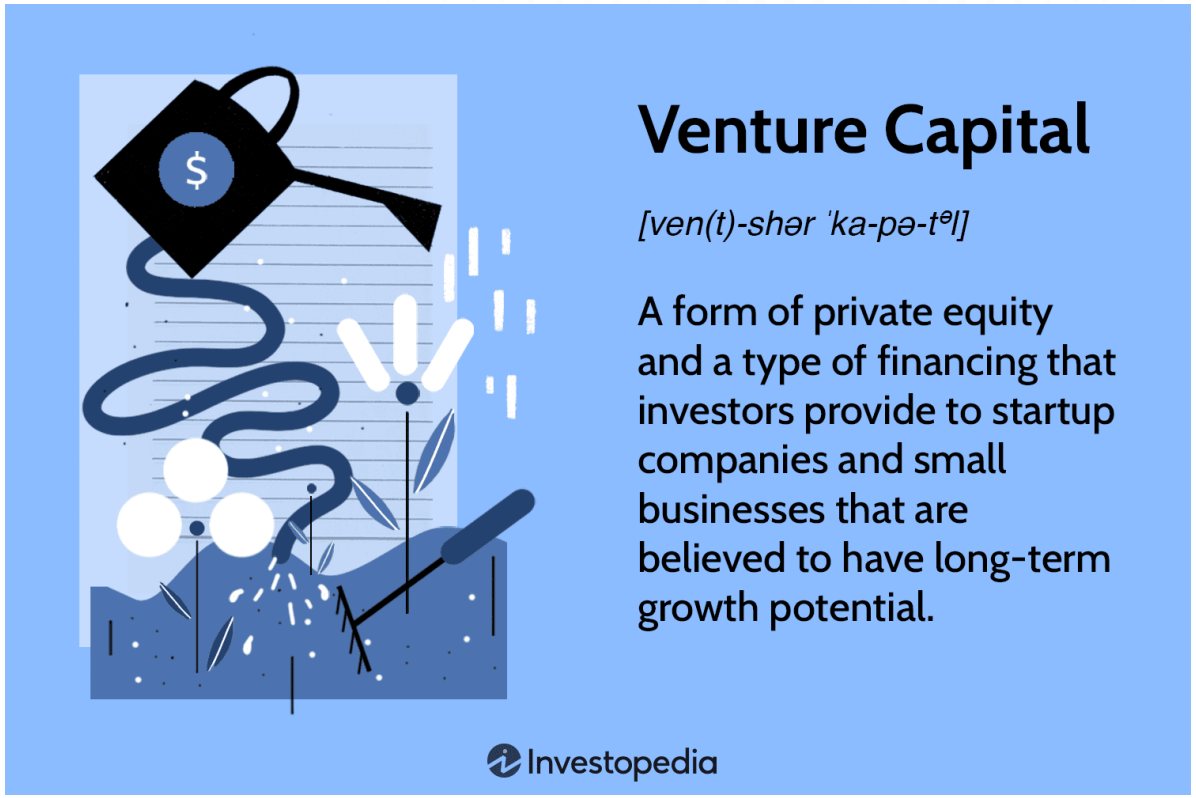
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Funding – Equity Financing



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Venture Capitals



Malaysian Venture Capital (MAVCAP) Management Berhad
Level 5, Menara Bank Pembangunan
Bandar Wawasan
No. 1016, Jalan Sultan Ismail
50250 Kuala Lumpur
Tel : 03 - 2050 3000
Fax : 03 - 2698 3800
Website : www.mavcap.com.my

Maybank Ventures Sdn Bhd
41st Floor, Menara Maybank
100, Jalan Tun Perak
50050 Kuala Lumpur
Tel : +603 2032 2188
Fax : +603 2031 2188
Website: http://www.mayban-ventures.com.my

Commerce Asset Ventures Sdn Bhd
No. 6, Commerce House
22-24, Jalan Sri Semantan Satu
Damansara Heights
50490 Kuala Lumpur
Malaysia
Tel : +603 2732 5577
Fax : +603 2732 1343
Website: www.commerce-ventures.com.my

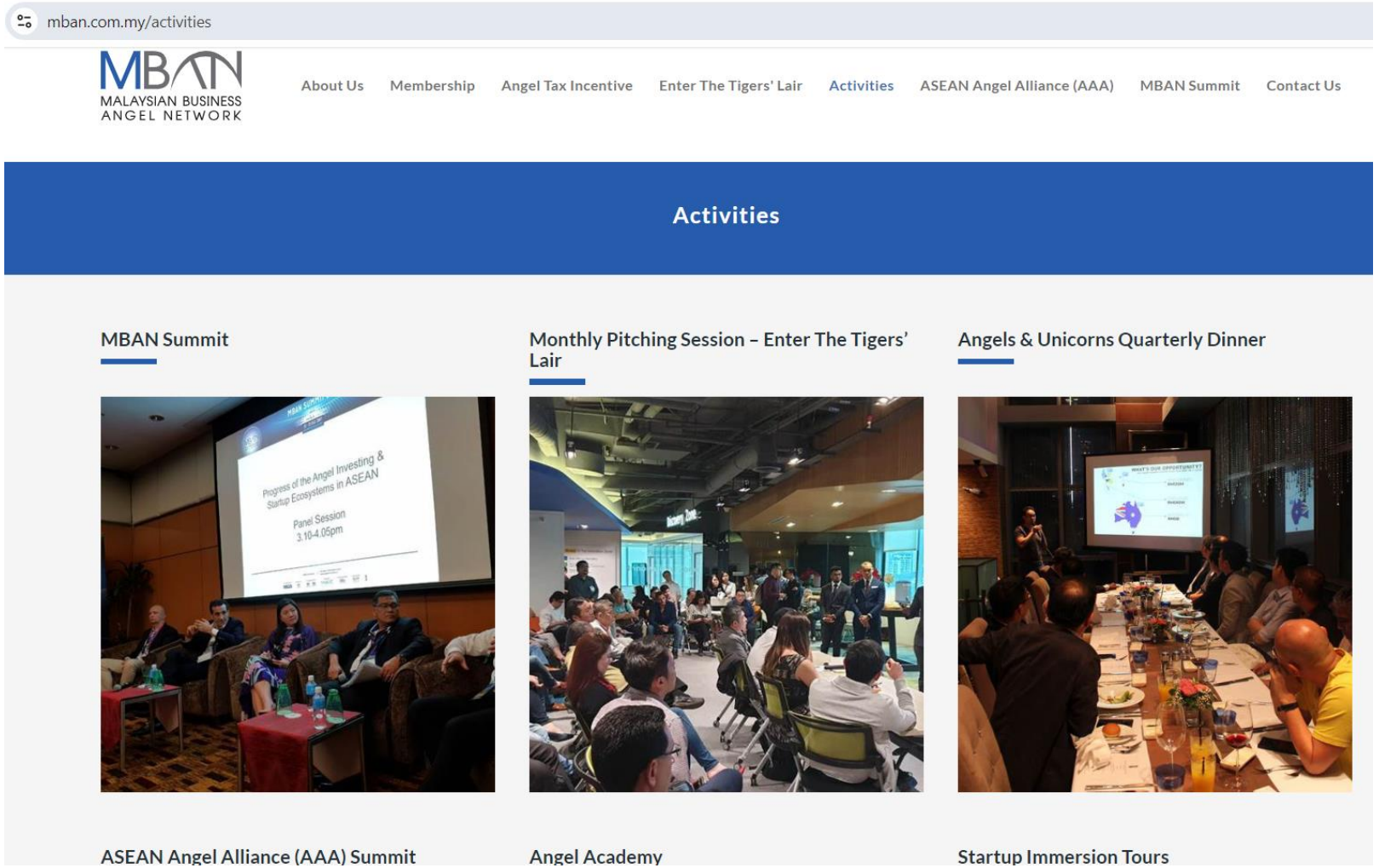
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Business Angels

- Are individuals who invest their personal capital directly in start-ups.

- The prototypical business angel is about 50 years old, has high income and wealth, is well educated, has succeeded as an entrepreneur, and is interested in the startup process.

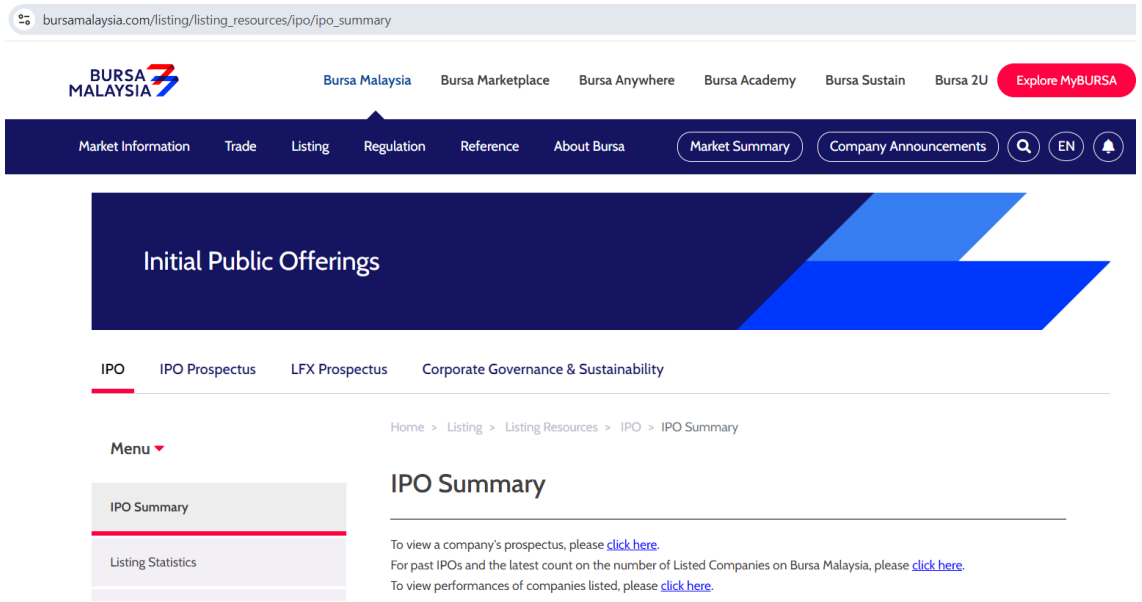
The Malaysian Business Angel Network (MBAN)



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Initial Public Offering (IPO)

- An IPO is a company's sale of stock/equity to the public.
- A firm is not able to go public until it has demonstrated that it is viable and has a bright future.
- Traded at the major stock exchanges. E.g. Bursa Malaysia



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Initial Public Offering (IPO)

Why IPO?

Is a way to raise equity capital to fund current and future operations.

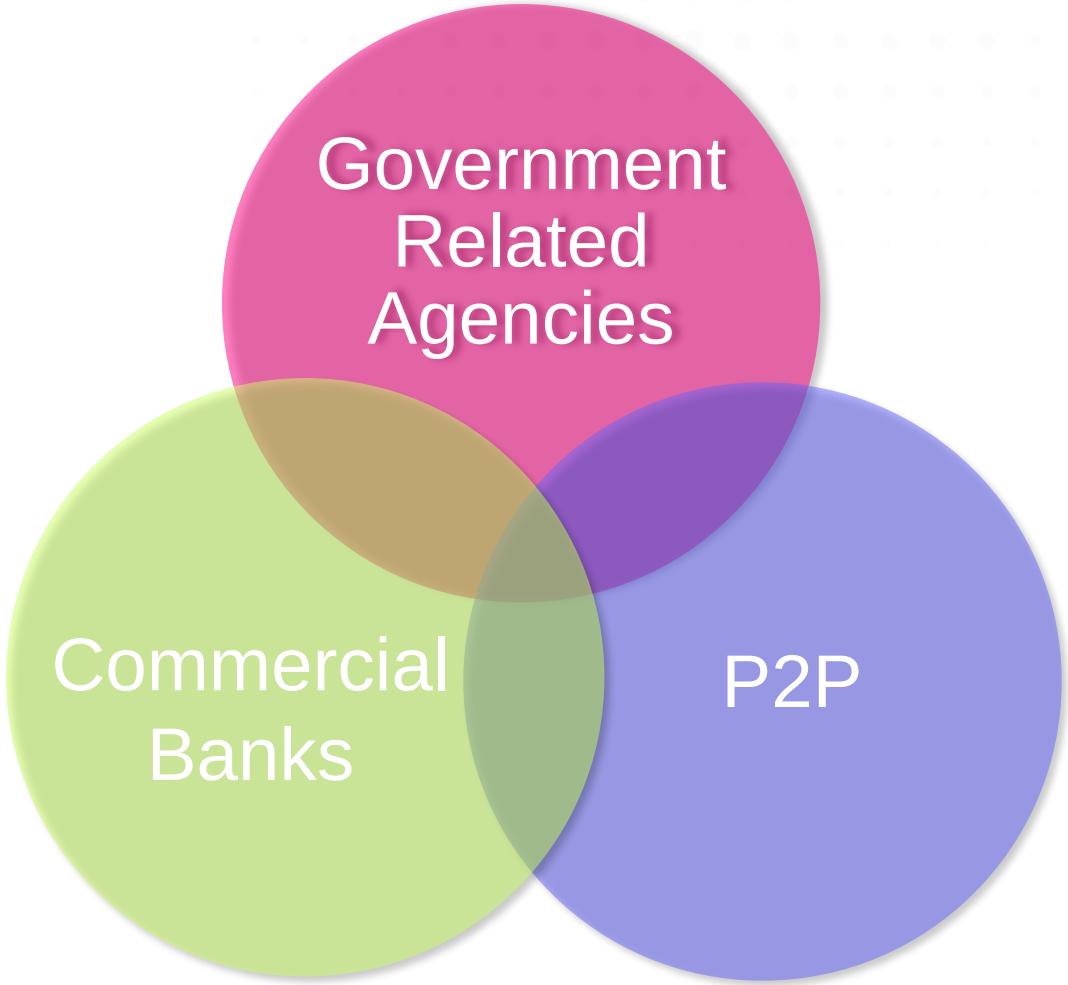
Raises a firm's public profile, making it easier to attract high-quality customers and business partners.

Is a liquidity event that provides a means for a company's investors to recoup their investments.

Creates a form of currency that can be used to grow the company via acquisitions.

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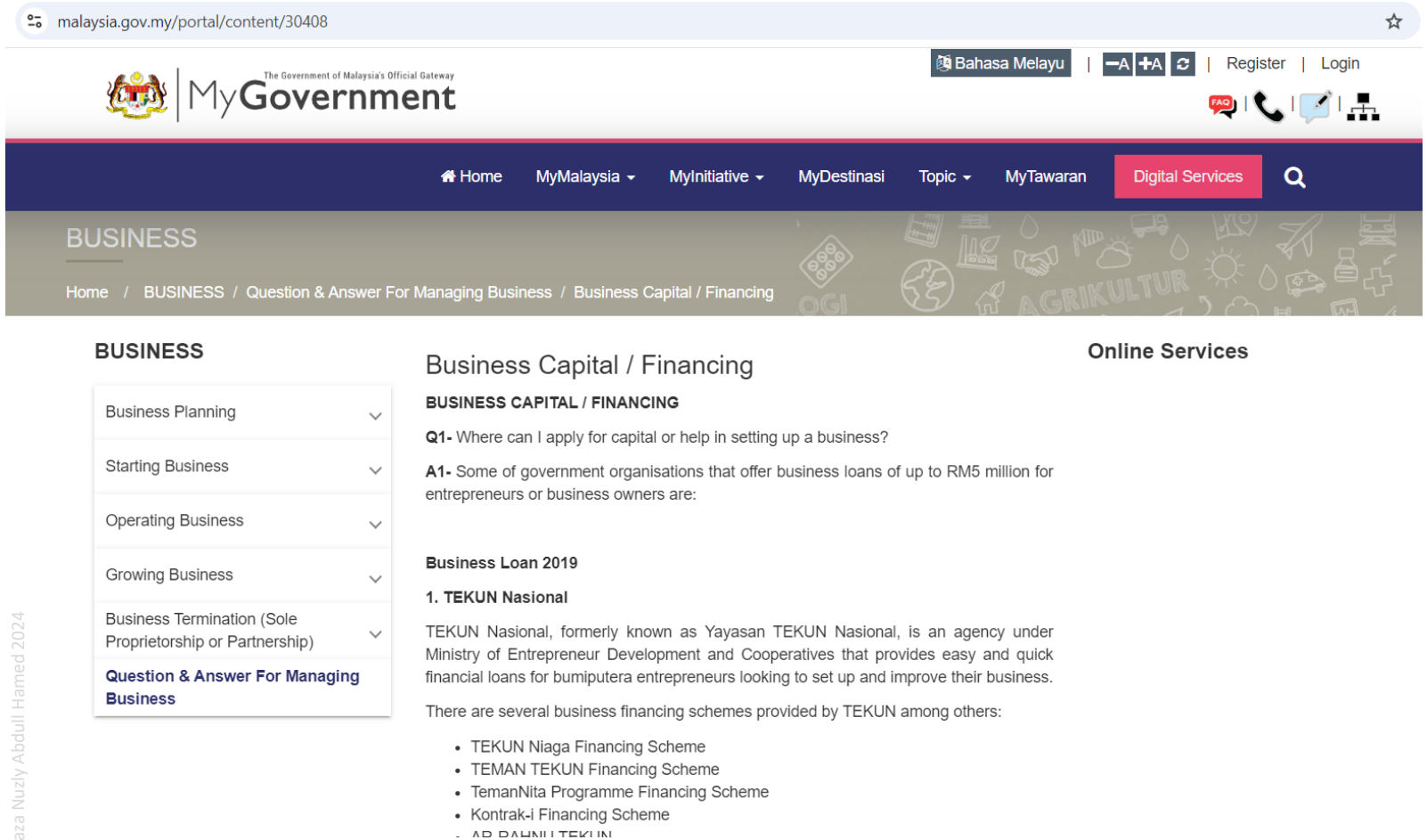
Funding – Debt Financing



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Government Related Agencies

https://www.malaysia.gov.my



- New Entrepreneurs Fund 2
  Bank Negara Malaysia
- PROSPER Siswazah Entrepreneurial Scheme
  Perbadanan Usahawan Nasional Berhad (PUNB)
- Soft Loan for ICT Adoption
  Malaysian Industrial Development Finance Berhad (MIDF)
- Youth Business Scheme
  Bank Kerjasama Rakyat Malaysia Berhad
- Graduate Entrepreneurs Fund
  SME Bank Berhad

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Commercial Banks

- Commercial banks have not been viewed as a practical sources of financing for start-up firms.
- This sentiment is not a knock against banks; it is just that banks are risk adverse, and financing start-ups is a risky business.
- Banks are interested in firms that have a strong cash flow, low leverage, audited financials, good management, and a healthy balance sheet.
- Some examples:

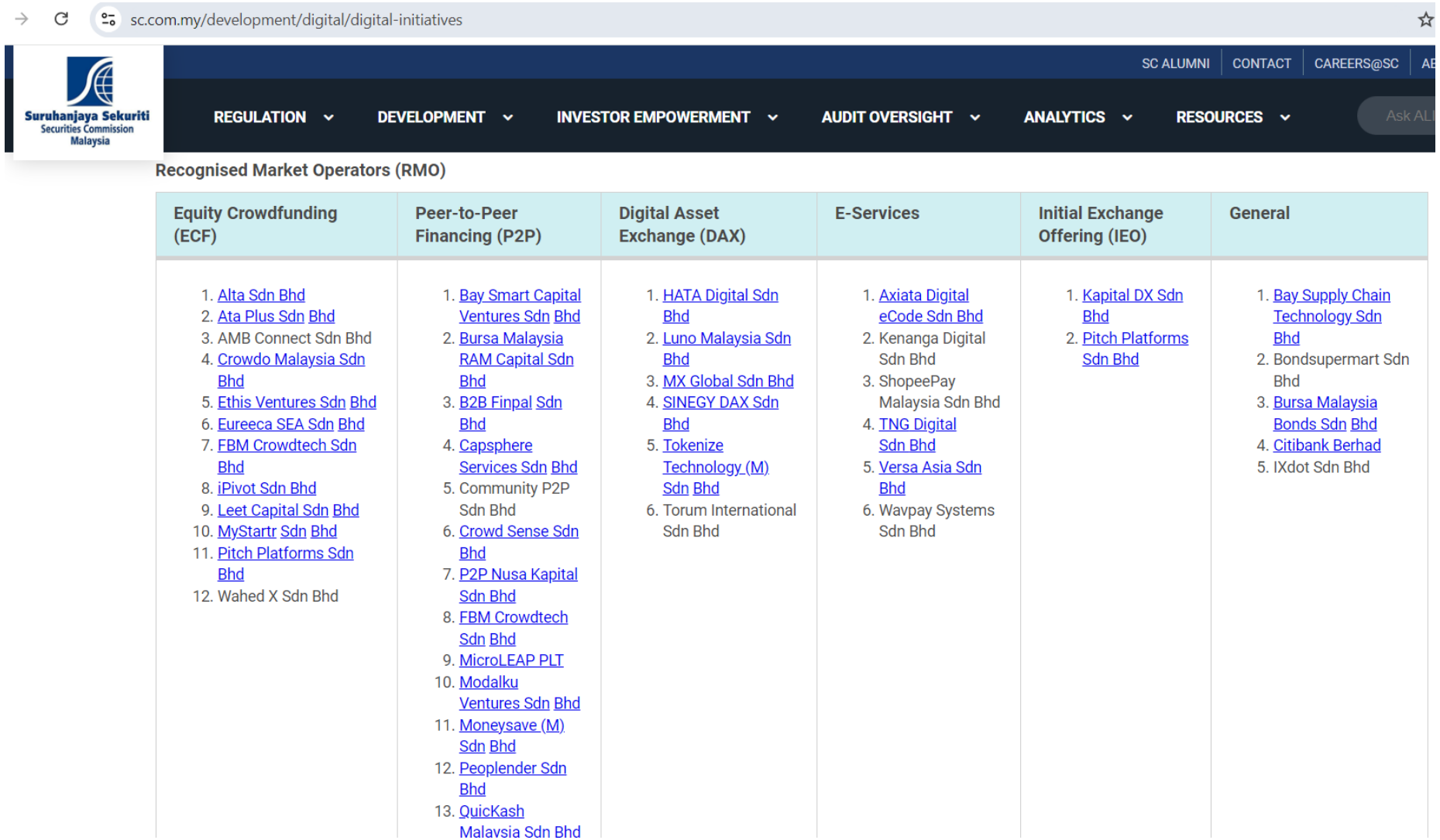




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Peer-to-Peer Financing (P2P)

https://www.sc.com.my/development/digital/digital-initiatives



sc.com.my/development/digital/digital-initiatives

Suruhanjaya Sekuriti
Securities Commission
Malaysia

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Recognised Market Operators (RMO)

Equity Crowdfunding (ECF)	Peer-to-Peer Financing (P2P)	Digital Asset Exchange (DAX)	E-Services	Initial Exchange Offering (IEO)	General
1. Alta Sdn Bhd 2. Ata Plus Sdn Bhd 3. AMB Connect Sdn Bhd 4. Crowdo Malaysia Sdn Bhd 5. Ethis Ventures Sdn Bhd 6. Eureeca SEA Sdn Bhd 7. FBM Crowdtech Sdn Bhd 8. iPivot Sdn Bhd 9. Leet Capital Sdn Bhd 10. MyStartr Sdn Bhd 11. Pitch Platforms Sdn Bhd 12. Wahed X Sdn Bhd	1. Bay Smart Capital Ventures Sdn Bhd 2. Bursa Malaysia RAM Capital Sdn Bhd 3. B2B Finpal Sdn Bhd 4. Capsphere Services Sdn Bhd 5. Community P2P Sdn Bhd 6. Crowd Sense Sdn Bhd 7. P2P Nusa Kapital Sdn Bhd 8. FBM Crowdtech Sdn Bhd 9. MicroLEAP PLT 10. Modalku Ventures Sdn Bhd 11. Moneysave (M) Sdn Bhd 12. Peoplender Sdn Bhd 13. QuicKash Malaysia Sdn Bhd	1. HATA Digital Sdn Bhd 2. Luno Malaysia Sdn Bhd 3. MX Global Sdn Bhd 4. SINEGY DAX Sdn Bhd 5. Tokenize Technology (M) Sdn Bhd 6. Torum International Sdn Bhd	1. Axiata Digital eCode Sdn Bhd 2. Kenanga Digital Sdn Bhd 3. ShopeePay Malaysia Sdn Bhd 4. TNG Digital Sdn Bhd 5. Versa Asia Sdn Bhd 6. Wavpay Systems Sdn Bhd	1. Kapital DX Sdn Bhd 2. Pitch Platforms Sdn Bhd	1. Bay Supply Chain Technology Sdn Bhd 2. Bondsupermart Sdn Bhd 3. Bursa Malaysia Bonds Sdn Bhd 4. Citibank Berhad 5. IXdot Sdn Bhd

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Peer-to-Peer Financing (P2P)

https://www.moneysave.com.my



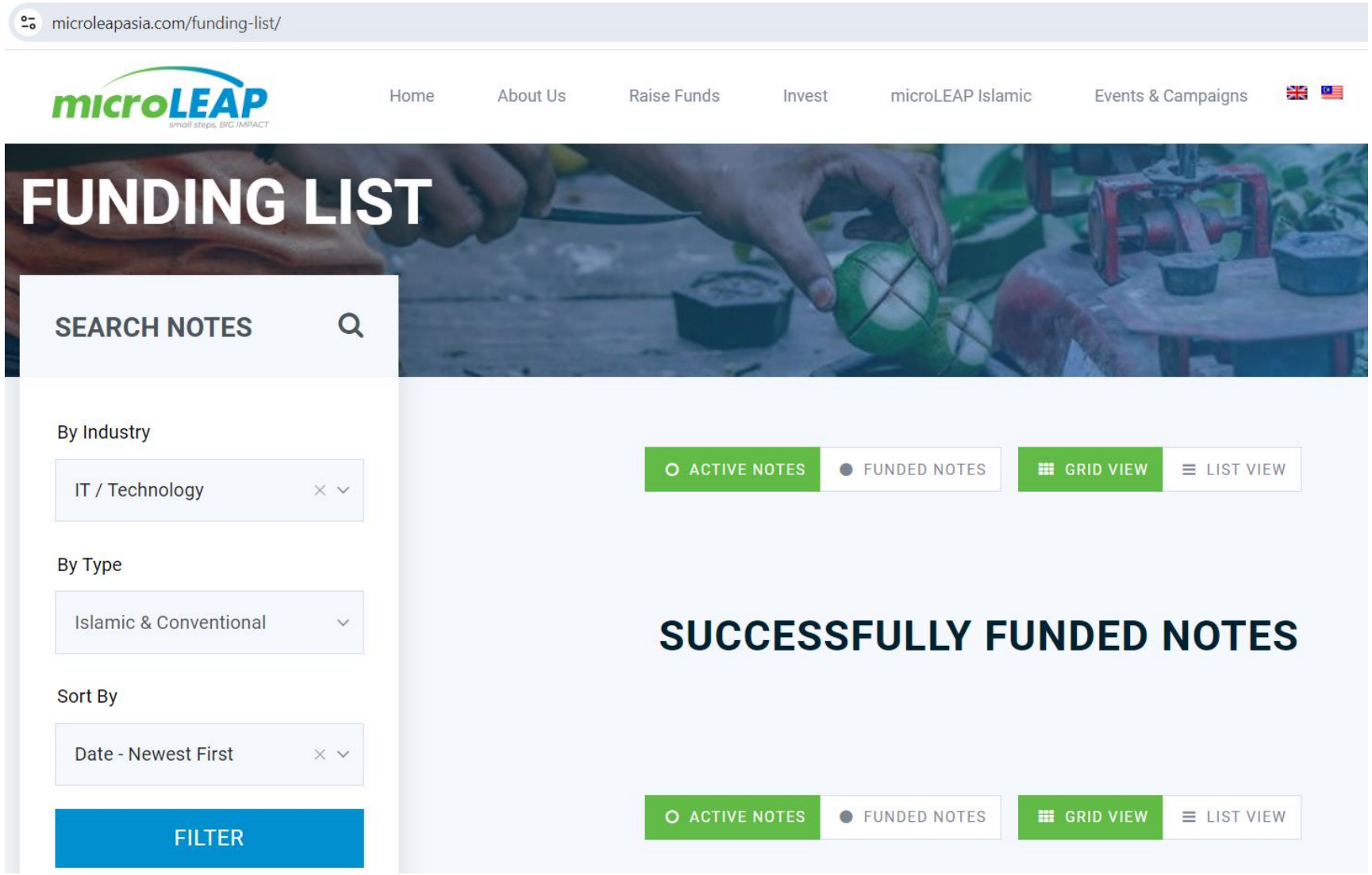
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www.utm.my

Peer-to-Peer Financing (P2P)

https://www.microleapasia.com



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Funding Strategy

Characteristics of the Venture	Appropriate Source of Financing or Funding
The business has high risk with an uncertain return: Weak cash flow High leverage Low-to-moderate growth Unproven management	Personal funds, friends, family, and other forms of bootstrapping
The business has low risk with a more predictable return: Strong cash flow Low leverage Audited financials Good management Healthy balance sheet	Debt financing
The business offers a high return: Unique business idea High growth Niche market Proven management	Equity

NEVER
KPKT Licensed Money Lender (PWB)
or especially
Unlicensed Money Lender (ALONG)

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THANK YOU

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